

How the strategy works

Every rule, every number, in plain language · 2009-01-01 to 2026-09-18 · 3,741 trades · generated 18 Sep 2026

The whole thing in one minute

Once a week the system looks at every stock in the Nifty 500, throws away the ones that are too small or too thinly traded, and ranks what is left by how much it has risen over the past year. It buys the top 20 at the next morning's open.

Each position is sized so that if the stop is hit, the loss is **1% of the account** - on 10 lakh that is Rs 10,000. The stop sits about 10.2% below the buy price, so a typical position is around Rs 98,536, roughly 9.8% of the account.

About **18 new trades a month** (0.85 per trading day), with around 29 positions open at any time.

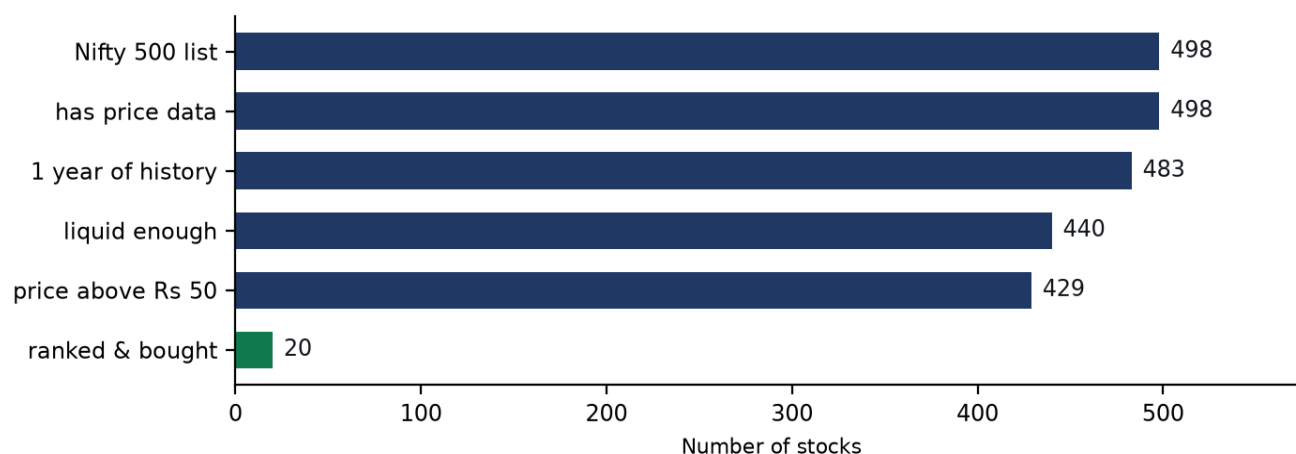
Most trades lose. 77.5% of them hit the stop and are out within about 25 sessions. The money comes from the 22.4% that survive to the 60-session time limit - those win 89.6% of the time and average +18.4%.

The single most important finding in this report: nothing about a stock at the moment of purchase tells you whether it will be a winner or a loser. Winners and losers look identical on entry. The edge is entirely in how trades are exited.

1. How a stock gets chosen

Two stages. First a hygiene screen removes what cannot be traded properly. Then whatever survives is ranked, and the top names are bought. The hygiene screen is about tradability, not about predicting returns.

The funnel on 2026-09-18



Averaged across every scan in the 17-year test, the same funnel looks like this. The count of stocks with usable price data is lower in earlier years because many of today's index members had not listed yet.

Stage	What it means	Stocks left (avg)
In the index	the Nifty 500 constituent list	498
Has price data	actually listed and trading on that date	358
Enough history	at least 252 sessions, so a 1-year figure exists	345
Liquid enough	20-day median traded value of Rs 10 crore or more	205
Price above Rs 50	avoids penny-stock tick and spread effects	188
Bought	top 20 by score	20

Which screen removes the most

Screen	Stocks removed per scan (avg)
too illiquid (<Rs 10cr/day)	139
price below Rs 50	17
too little history (<252 sessions)	13

Liquidity does nearly all the work. Roughly 139 stocks per scan are excluded for trading less than Rs 10 crore a day - not because they are bad investments, but because a position large enough to matter could not be entered or exited without moving the price.

How the survivors are ranked

Ingredient	Weight	What it measures
12-month momentum, skipping the last month	1.00	price a month ago divided by price 13 months ago. The recent month is skipped because very recent moves tend to reverse.
Low beta (252-day)	0.25	how much the stock moves when the index moves. A tilt toward calmer names.

Both ingredients are converted to percentile ranks before being combined, so a stock in the 90th percentile for momentum and the 50th for calmness scores $0.90 + 0.25 \times 0.50$. The top 20 scores are bought. There is no volatility cap and no moving-average filter: both were tested over 17 years and neither improved anything.

2. How much is risked on each trade

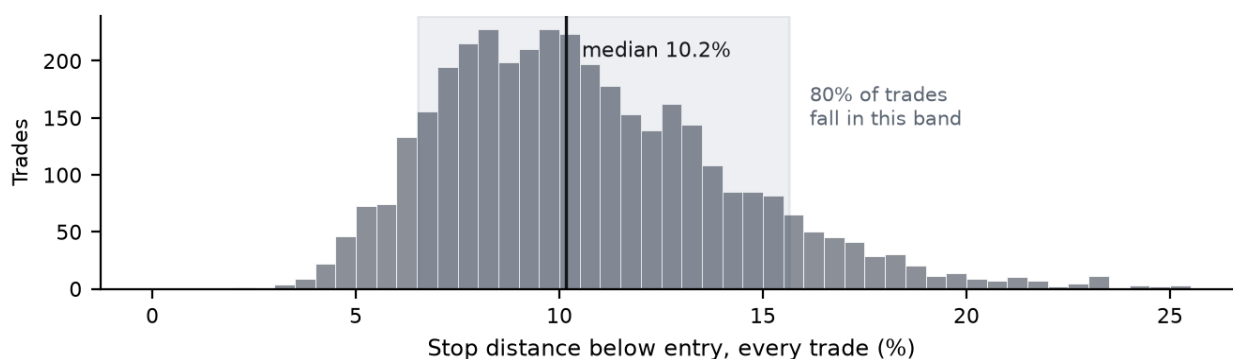
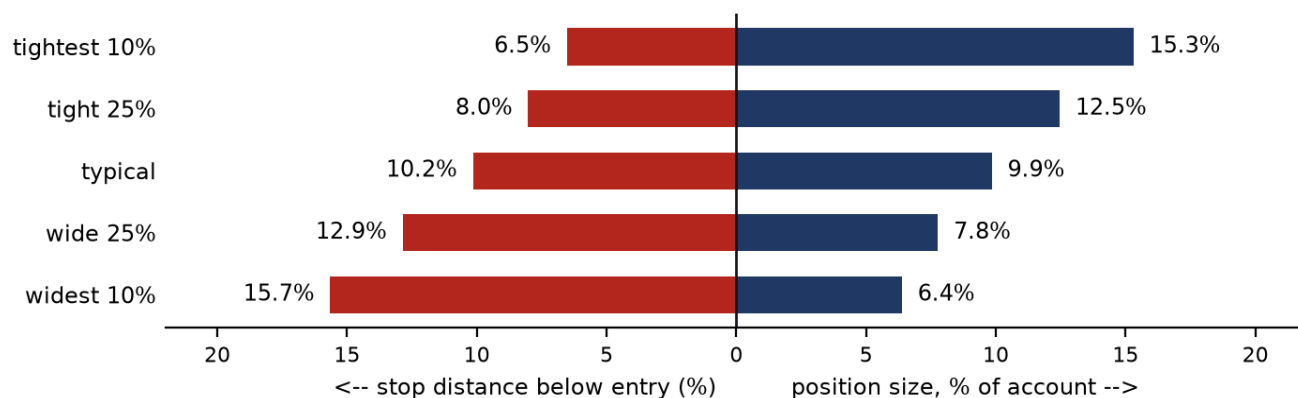
Position size is not fixed in rupees. It is worked backwards from the stop, so that every trade risks the same amount of money regardless of how volatile the stock is. A jumpy stock gets a wider stop and therefore fewer shares.

The formula

Step	Calculation	Example
1. Decide the risk	1% of account	Rs 10,000
2. Place the stop	2.5 x ATR below entry	10.2% below buy price
3. Risk per share	entry price minus stop price	Rs 101 on a Rs 1,000 stock
4. Shares to buy	risk budget / risk per share	10,000 / 101 = 99 shares
5. Position value	shares x entry price	Rs 98,536

How wide the stop actually sits

A wider stop buys fewer shares. Every row risks the same Rs 10,000.



In the actual portfolio run the median position came to Rs 87,137 - about 64 shares of a typical pick. Note that a wider stop does not mean more risk: it means fewer shares. The rupee risk is the same either way. That is the entire point of sizing this way.

The one place this protection fails

A stop is an instruction, not a guarantee. If a stock gaps down overnight and opens below the stop, the exit happens at the open - worse than planned. This happened on **3.4% of trades**, where the loss exceeded the 1R that was budgeted. The worst observed was about -2R, i.e. double the intended loss.

Practical consequence: plan for the occasional position losing 2% of the account rather than 1%, and do not size on the assumption that the stop is absolute.

3. How often trades happen

Measure	Value	In plain terms
Scans	870 over 17.7 years	the list is rebuilt once a week
New trades per scan	4.5 on average	most of the top 20 are already held
New trades per month	17.6	roughly four a week
New trades per trading day	0.85	less than one a day
Positions open at once	29 average, 48 peak	positions overlap because holds are long
Total trades tested	3,741	over 17.7 years

The gap between 4.5 new trades per weekly scan and 29 open positions is worth understanding: because a position can be held up to 60 sessions, roughly 12 weekly cohorts are live at any moment. The unconstrained strategy therefore wants far more positions than a small account can fund. The portfolio runs cap this at 10 open positions, which is why many signals go untaken.

4. How a trade ends

There are only two ways out. There is no profit target - nothing is ever sold simply because it has gone up by a set amount.

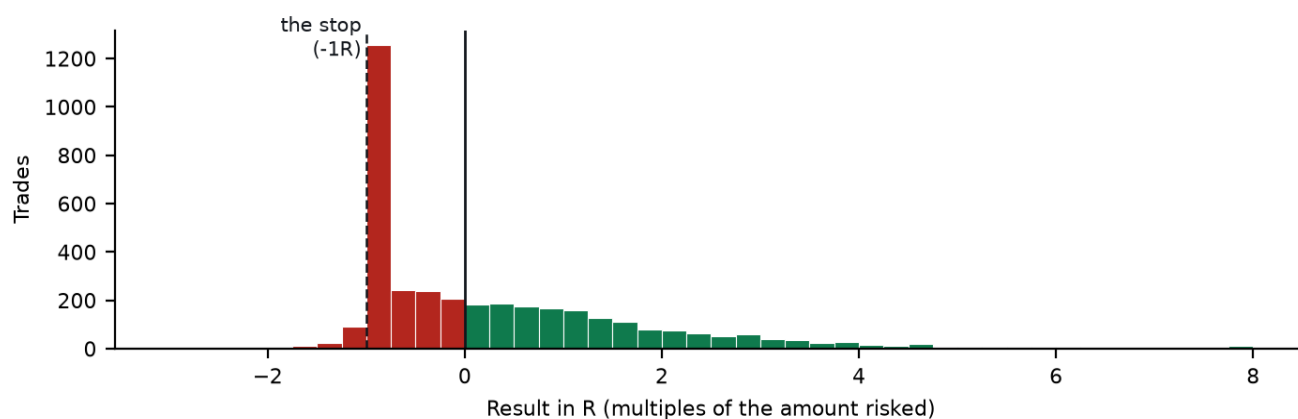
Exit	Trigger	Share of trades	Win rate	Average result	Avg hold
stop	price falls to the stop or the trailing stop	77.5%	31.2%	-1.6%	25d
time	60 sessions elapsed	22.4%	89.6%	+18.4%	60d

The two stop levels

Stop	Where it sits	When it moves
Initial	2.5 ATR below the buy price	never - fixed at entry, used for sizing
Trailing	3.5 ATR below the highest close reached	upward only, as the stock makes new highs

The trailing stop is what converts a winner into a completed trade. Once a stock has risen far enough, the trail rises above the buy price and the trade can no longer lose money. That is why a 'stop' exit is not automatically a loss - 31.2% of stop exits were profitable.

Where results actually land

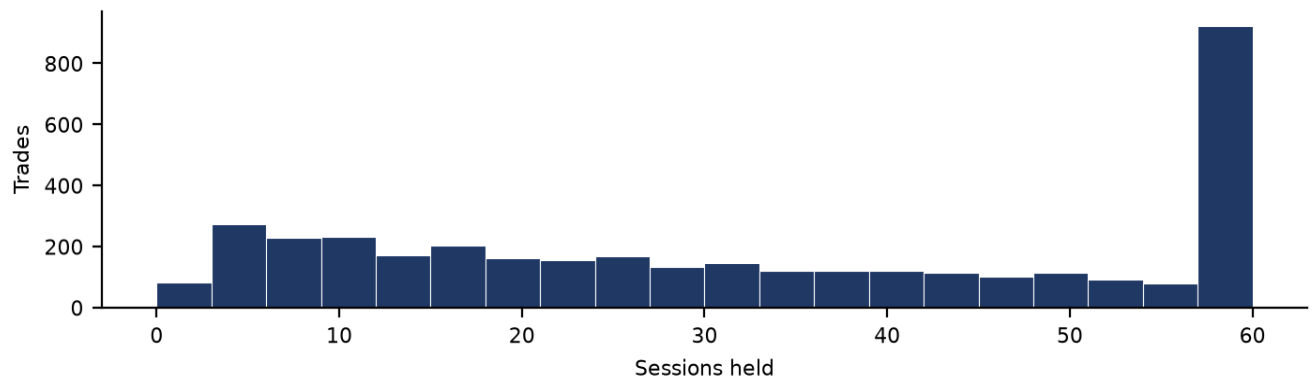


Result band	Trades	Share
worse than -2R	2	0.1%
-2 to -1.5R	12	0.3%
-1.5 to -1R	1,069	28.6%
-1 to -0.5R	542	14.5%
-0.5 to 0R	443	11.8%

Result band	Trades	Share
0 to +0.5R	368	9.8%
+0.5 to +1R	341	9.1%
+1 to +2R	477	12.8%
+2 to +3R	250	6.7%
+3 to +5R	181	4.8%
above +5R	56	1.5%

The tall bar just below -1R is the stop doing its job: 28.6% of all trades end there, losing almost exactly what was budgeted. The right tail is thin but it is where the profit lives - 6.3% of trades returned more than 3R, and those pay for everything else.

How long positions are held

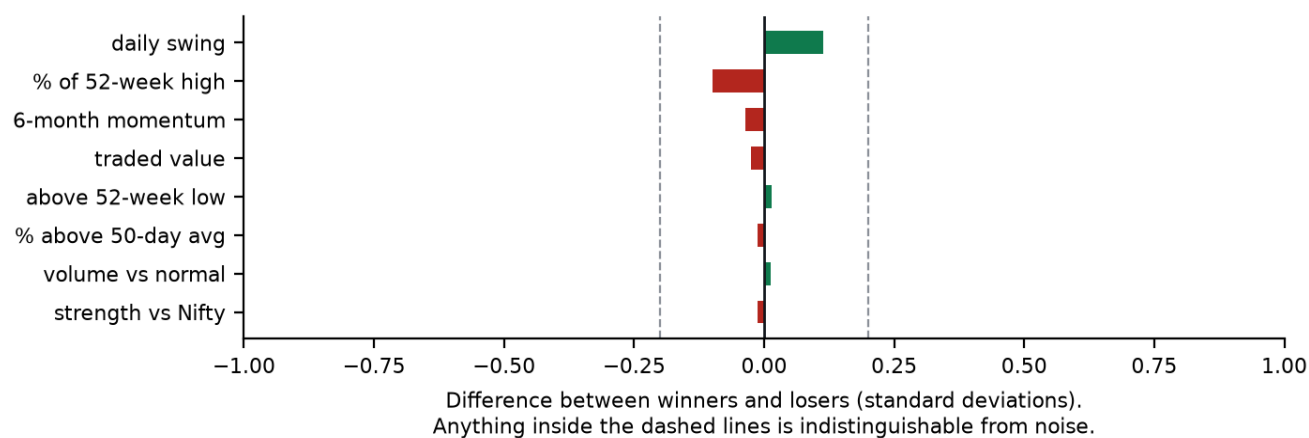


Median 31 sessions. 17.9% are closed within 10 sessions - these are the quick failures. 23.1% run the full 60 sessions.

5. What winners and losers had in common

Of 3,741 trades, 1,658 made money and 2,083 lost - a win rate of 44.3%. The obvious question is what the winners looked like when they were bought, so that more of them could be chosen.

The answer is that they looked the same.



What was measured at entry	Winners	Losers	Difference
daily swing (ATR as % of price)	4.1%	3.9%	+0.11 sd
% of its 52-week high	0.88	0.89	-0.10 sd
6-month momentum	31.2%	33.0%	-0.04 sd
traded value (Rs cr/day)	35.95	39.28	-0.03 sd
times above its 52-week low	2.00	1.97	+0.01 sd
% above the 50-day average	1.9%	2.1%	-0.01 sd
volume vs normal	0.87	0.85	+0.01 sd
strength vs Nifty	10.6%	10.9%	-0.01 sd
stretch above the 20-day average	-0.44	-0.43	-0.01 sd
last month's return	-1.3%	-1.2%	-0.00 sd
sector strength percentile	0.65	0.65	+0.00 sd

Not one characteristic separates the two groups. The largest difference is 0.11 standard deviations, which is nothing - a gap needs to be roughly 0.2 before it is even worth a second look, and these are measured after the fact on the same data, which biases them upward if anything.

The score itself does not predict either

Position in the list	Trades	Win rate	Average result
1-5	710	44.6%	+2.9%
6-10	712	44.4%	+3.0%
11-15	876	45.6%	+3.2%
16-20	1,443	43.4%	+2.7%

The stock ranked first is no more likely to work than the stock ranked twentieth. This is why buying only the top 5 performs worse, not better - it concentrates into names with no measurable advantage while giving up diversification.

What DOES separate them

	Winners	Losers
Median sessions held	56	16
Average result	+17.2%	-8.5%

	Winners	Losers
Total contribution	+285 units	-177 units

Only time. Winners were held 56 sessions at the median; losers 16. A losing trade announces itself quickly and is cut; a winning trade has to be left alone for two to three months. The strategy does not find better stocks - it fails cheaply and often, and holds the few that work.

6. What this means if you run it

1. Do not try to pick within the list

Section 5 shows there is no information in the ranking beyond making the list at all. Choosing 'the best looking' five of the twenty is guesswork that costs diversification.

2. Do not take profits early

The entire return comes from the 22% of trades that run the full 60 sessions and average +18%. Selling those at +10% removes the profit and leaves the losses.

3. Expect to be wrong more often than right

55.7% of trades lose money. The longest run of consecutive losers in testing was 30. This is normal for the method, not a sign it has stopped working.

4. Size for a 2R loss, not 1R

3.4% of trades gapped through the stop and lost more than budgeted. On a 1% risk setting, plan for the occasional 2% hit.

5. The account needs to fund more positions than you expect

29 positions overlap on average because holds are long. With 10 lakh and 10 slots, many signals simply go untaken - the results reflect the subset that fitted.

6. Judge it over years, not months

Roughly 74% of six-month periods were positive, which means one in four was not. Any single quarter tells you nothing.

Limits of everything above

The universe is today's Nifty 500 list, so companies that were delisted or dropped out are missing and results are optimistic. Fills are assumed at the next open with a 0.25% round-trip cost and no market impact. When a stop and the session's low coincide the stop is assumed to have been hit. Roughly 60 strategy variants were tested before arriving at this one, so the statistics are not those of a single pre-registered hypothesis. This is research output, not investment advice, and not a recommendation to buy or sell any security.